Business Analysis Report

Display Size Availability and Replenishment Notification System



Organization:

Cool Planet Fashion Store

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1. Executive Summary

Cool Planet is a clothing retail organization that receives clothing items from suppliers and stores them in a warehouse before transferring them to the shop-floor display. Customers visit the store to select clothes according to their preferred styles, colours, and sizes.

A potential business problem occurs when customers cannot find their required clothing sizes on the shop-floor display, even though those sizes are available in the warehouse. This situation may result in customer inconvenience, unnecessary waiting time, additional employee workload, and potential lost sales.

This Business Analysis Report investigates the clothing stock management and replenishment process at Cool Planet. It examines the current state, identifies potential root causes, analyses the gaps between the existing and desired processes, and proposes a Size-Wise Display Stock Monitoring and Replenishment Notification System.

Under the proposed solution, employees record the details of clothes taken from the warehouse, including the item name, colour, size, and quantity. The employee hands the record to the supervisor, who enters or confirms the information in the system. The system maintains separate warehouse and display stock quantities and monitors the display stock against a predefined minimum level.

When the display stock of a particular item, colour, and size reaches or falls below the minimum level, the system automatically sends a notification to the supervisor. The supervisor can then assign an employee to retrieve the required quantity from the warehouse and replenish the display.

The proposed solution aims to improve stock visibility, reduce delays in replenishment, support better inventory accuracy, and enhance customer satisfaction. Further investigation is required to confirm the actual root causes and assess the solution's feasibility before implementation.

2. Introduction

Cool Planet operates in the retail clothing industry, where the availability of clothing sizes plays an important role in customer satisfaction and sales performance.

The clothing inventory process involves several activities:

- Receiving clothes from suppliers.
- Storing clothes in the warehouse.
- Transferring clothes from the warehouse to the shop floor.
- Arranging clothes according to size and style.
- Helping customers find their required clothes and sizes.
- Replenishing displayed stock when necessary.

If the warehouse and shop-floor display are not managed effectively, customers may not be able to find available products efficiently.

This report focuses on analyzing the existing inventory and replenishment process and identifying opportunities to improve the availability of clothing sizes on the shop floor.

3. Problem Statement and Business Objectives

Problem statement

Customers visiting Cool Planet may find that their required clothing size is missing from the shop-floor display, even when the size is available in the warehouse. This suggests a possible gap between warehouse inventory management and shop-floor replenishment.

The exact cause has not yet been confirmed. Potential causes include delays in transferring clothes, inadequate size-wise stock visibility, manual inventory updates, or a lack of a standard process for checking and replenishing missing sizes.

As a result, customers may need to wait for assistance, sales assistants may spend additional time searching for stock, and potential sales opportunities may be lost.

Business objectives

The main objectives are to:

1. Improve the availability of clothing sizes on the shop floor.
2. Reduce the time customers spend waiting for missing sizes.
3. Improve coordination between warehouse staff and shop-floor employees.
4. Maintain accurate inventory records for each clothing item and size.
5. Reduce unnecessary manual stock searches and repeated work.
6. Improve customer satisfaction and reduce potentially lost sales.

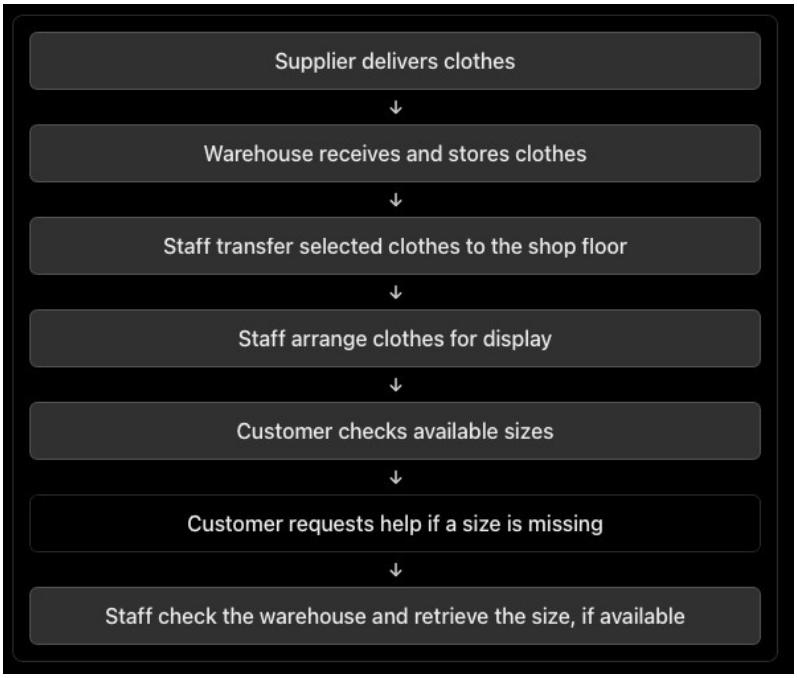
4. Stakeholder Analysis

Stakeholders are people or groups who are affected by the problem or who participate in the process.

Stakeholder	Role in the process	Possible concern
Customers	Select and purchase clothes	Required size is not displayed
Sales assistants	Help customers and check sizes	Time wasted searching for stock
Shop-floor staff	Arrange and replenish displays	Difficulty identifying missing sizes
Warehouse staff	Store and retrieve clothing items	Receiving frequent requests for stock
Store manager	Manage daily operations and sales	Customer dissatisfaction and lost sales
Suppliers	Deliver clothes to Cool Planet	Accurate receiving and product records
IT/system administrator	Maintain any supporting inventory system	Accurate data and system availability

5. Current State Analysis (AS-IS)

The AS-IS process describes how the organization currently performs its activities. The following is a preliminary process based on the scenario provided.



Possible problems in the current process

- Clothes may not be replenished promptly after display stock decreases.
- Employees may not have an easy way to check warehouse quantities by size.
- Replenishment may depend on staff noticing missing sizes or customer requests.
- Stock records may not always reflect the latest stock movements.
- There may be no defined time target for retrieving a missing size.

6. Gap Analysis

Gap analysis compares the current situation with the desired situation to identify what needs to change.

Area	Current situation to investigate	Desired situation	Identified gap
Size availability	Some sizes may be missing from displays	Required sizes are available when stock permits	Display stock is not replenished effectively
Stock visibility	Staff may need to search manually	Staff can quickly check warehouse quantities	Limited or slow stock visibility
Replenishment	May rely on staff noticing missing sizes	A defined process identifies and replenishes missing sizes	No reliable trigger or standard procedure
Stock accuracy	Records may not reflect every movement promptly	Records match physical stock	Potential stock-record discrepancies
Customer service	Customers may need to wait	Staff can confirm availability and retrieve items quickly	Unnecessary customer waiting time

7. Requirement Elicitation Summary

Requirement elicitation is the process of collecting information from stakeholders to understand their needs and the actual business problem.

Technique	Who/what to investigate	Purpose
Interviews	Sales assistants, warehouse staff, store manager	Understand how missing sizes are handled
Observation	Shop-floor display and warehouse retrieval	Identify delays and unnecessary steps
Document analysis	Stock records, transfer notes, replenishment procedures	Check stock accuracy and existing rules
Questionnaires	Customers, if permitted	Understand customer waiting and availability experiences

8. Proposed Solution (TO-BE)

The proposed solution is a **Size-Wise Display Stock Monitoring and Replenishment Notification System** designed to improve clothing stock management at Cool Planet.

Under the proposed system, the storekeeper will record all clothing items received from suppliers in the system. When employees take clothing items from the warehouse to the shop-floor display, they will complete a small paper-based stock-transfer record containing the product name, colour, size and quantity. The employee will hand over this record to the supervisor for verification.

After verifying the paper record, the supervisor will update the system. The system will automatically adjust the warehouse and display stock quantities accordingly.

The system will continuously monitor display stock based on product size and colour. When the display stock reaches or falls below the predefined minimum stock level, an automatic notification will be sent to the responsible supervisor. The supervisor can then assign an employee to replenish the required items from the warehouse.

This solution will improve stock visibility, reduce manual stock-checking activities, support timely replenishment and help ensure that customers can find their required clothing sizes.

9. Feasibility Study

A feasibility study determines whether the proposed solution can realistically be implemented.

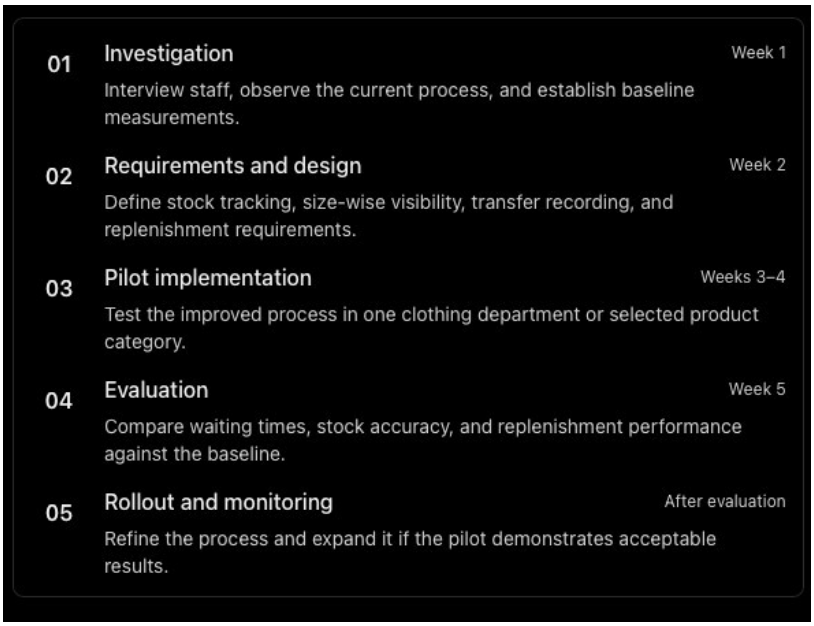
Feasibility type	Assessment
Technical feasibility	A size-wise inventory view could be implemented using an existing retail system or a suitable inventory application. Technical compatibility must be checked.
Operational feasibility	The process should fit employees' existing duties and include staff training.
Economic feasibility	Compare software, equipment, training, and maintenance costs with potential savings and improved sales.
Schedule feasibility	A small pilot in one department or clothing category could be introduced before a wider rollout.
Organizational feasibility	Management approval and cooperation between warehouse and shop-floor staff will be required.

10. Risk Analysis

Risk	Potential impact	Mitigation
Incorrect stock data	Employees may search for unavailable items	Perform regular stock counts and record every movement
Staff resistance	Employees may continue using the old process	Provide training and involve staff in the design
Implementation costs	The project may exceed its budget	Start with a small pilot and compare costs
System downtime	Staff may be unable to check stock	Provide a temporary manual checking procedure
Poor data entry	Incorrect sizes or quantities may be recorded	Use standardized product codes and validation
Delayed replenishment despite accurate records	Customers may still need to wait	Assign responsibility and monitor replenishment time

11. Implementation Strategy

A phased implementation allows Cool Planet to test the proposed changes before introducing them throughout the store.



12. Conclusion

This business analysis identifies a potential problem in the relationship between warehouse stock and shop-floor clothing availability at Cool Planet. Customers may be unable to find their required sizes on display even when those sizes are available in the warehouse.

The report proposes investigating the existing process, confirming the root causes, improving size-wise inventory visibility, introducing a standard replenishment procedure, and monitoring performance through measurable indicators.

The proposed changes are intended to reduce unnecessary waiting, improve staff efficiency, and enhance the customer experience. A pilot implementation and feasibility assessment should be completed before making a final decision about wider implementation.

The findings should demonstrate, using actual observations and staff feedback, whether the current process needs to change and which solution is most appropriate.